tons of food grains, 856,000 bales of cotton and other commodities. This was a supplement to the PL–480 Agreement of 30 September 1964. Another food agreement under PL–480 was implemented on 20 February 1967. This was followed by further food agreements and also funds to finance development projects mutually agreed upon.[7] The point to be noted here is that, the US administration, while publicly giving the impression that it was going all out to help but actually it was trying to twist India's arm with regard to her foreign policy, particularly in relation to her friendly ties with Moscow. Further, the Indo–US relations suffered several setbacks because of India's role in the Bangladesh crisis, Nixon's tilt towards Pakistan and the Pokhran explosion of 1974. Still Mrs.Gandhi continued her efforts to improve India's relation with the United States. She met President Ronald Reagan for the first time during a World Summit at Cancun (Greece) in October 1981. This was followed by her visit to the United States in September 1982 with the objective of reducing the differences and enhancing mutual understanding. However, basic differences persisted over West Asia, the Indian Ocean, and South-East Asia.

The revival of economic and political momentum between 1969 and 1971 once again helped India to regain her assertiveness in her foreign policy decisions as well as voicing the concerns of the developing world. Mrs. Gandhi projected India's image abroad as not an image of a country which follows any group or country, but as an image of a country standing or trying to stand on her own feet.

The most critical and dangerous challenge to India which she faced in the 1970s was the Bangladesh crisis. She gave top priority to this crisis as India's security and stability were jeopardized. Refugee influx became a grave concern for India. But India, under Mrs. Gandhi took calculated move at every stage of the crisis. Besides the Prime Minister and the Foreign Minister, a nucleus for high-level planning was made by the Principal Private Secretary to the Prime Minister, Mr. P.N. Haksar and the Foreign Secretary, Mr. T.N. Kaul.

At about the same time, simultaneous developments could be seen in other parts of the world where the Nixon–Kissinger duo was eager to mend fences with China, and China too under Mao–Zhou